— Opinion

Chalmers' super tax is very smart, that's why it's so cruel

The cleverest thing about the proposed new tax on unrealised gains in high-balance superannuation accounts maybe the man selling it.



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One of the clever things about Labor's plan to tax unrealised gains in high-balance superannuation accounts is that, initially, at least, hardly anyone will be affected.

After all, if you want to fundamentally change the principles of how taxation works,

it helps if people don't notice at first.

It also helps to hide it behind something that might promote more outrage, like not indexing the rate at which the new $3 million cap (or maybe $2 million) [https://www.afr.com/wealth/personal-finance/super-tax-more-likely-could-hit-balances-of-2-million-20250505-p5lwm2] will kick in.

But the really clever thing is that the people who will be hit hardest by it probably aren't even aware it's happening because their super balance is currently nowhere near that big-sounding $3 million mark.



The government is counting on Jim Chalmers' charm to help sell its new tax on superannuation. **Alex Ellinghausen**

Cry me a river, they might be saying, anyone with that much in super is wealthy, so why shouldn't they pay the tax? That's what Jim Chalmers is banking on, anyway.

Which is another reason Chalmers is the one selling the tax to the public: he really is charming.

I've never been in the press gallery, but I have interviewed and spoken to my share of

politicians over the years, and every one of them has had a certain amount of charm in real life – it's why we elect them in the first place.

Even Barnaby Joyce, who at the time had the public persona of a deranged country bumpkin [https://www.afr.com/link/follow-20180101-p526em] (or passionate defender of rural Australia, if we are being polite), was all reasonableness and calm when he was speaking off-record and wasn't playing a part.

Some politicians play it angry in public, some play the technocrat, some play the guy on your side – but Chalmers oozes charm.

So when Chalmers, with a leprechaun twinkle in his eye, says less than 80,000 people (or 0.5 per cent of all super account holders) will be hit by the tax on unrealised gains, I don't want to disbelieve him.

It's just that he is talking about a number that is more than two years old – dating way back to February 2023. You'd have to think that inflation would have pushed a few more into the target zone since then. And on the government's numbers, about 10 per cent of account holders will have to pay the tax by 2053.

And when he reels off the numbers with an easy smile, plenty of people are going to miss what he is saying. Especially those that aren't engaged with financial advice.

If their superannuation is in an industry or a retail fund, they don't really have a reason to worry either. That's because those funds don't tend to sit on unrealised gains.

The same is true of wealthy family offices and self-managed superannuation funds with good advisers. They might regularly rebalance their portfolios or adopt any

number of sophisticated strategies to prepare for and deal with the new tax.

That's why you don't hear too much from them about the tax. They treat it as a fact of life. They can work out the best strategies to manage it, just like they have done with all the other changes to superannuation over the years.

But the people who will be cruelled by the tax are not sophisticated and they probably are not paying attention.

Take the farmer who only looks at her super every couple of years. She's too busy.

Or the unadvised owner of small businesses who puts their Sydney premises into their superannuation.

Or the mid-30s couple that plan to buy a couple of apartments in their self-managed

superannuation fund after a property seminar.

If those properties double in value every 10 or so year, a reasonable assumption given the performance of the real estate market over the past 30 years, that $1 million Sydney business premises will be worth $4 million in 20 years and those two Queensland apartments, bought for $600,000 each, will be worth $4.8 million.

If either of the people in the above scenarios were in their 30s, that means their super balances will be well north of $3 million by then, given their 12 per cent salary contributions.

And they are going to have to find the money by either selling that asset or digging in to their non-super earnings.

In this way, the tax on unrealised gains is a

tax on unsophisticated investors because they may not know they are liable for it until they get the bill.

But readers of this paper needn't worry. They have been warned.

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